

CENTRAL BANK OF SOLOMON ISLANDS

Peer-to-Peer Session STI Cohort Training

CBSI’s Nowcasting Model

Singapore
21 Sept – 2 October 2026

Outline

1. CBSI’s GDP Nowcast Model

2. From Nowcast to Monetary Policy

3. How CBSI communicates the Nowcast Internally?

4. How CBSI Communicates the Nowcast Externally?

5. Key considerations before publishing

1. CBSI's GDP Nowcast Model

- Provides a **timely assessment of current economic activity** given lags in official GDP estimates.
- Establishes **initial conditions** for the Bokolo Quarterly Projection Model (QPM)
- Helps identify **emerging inflationary pressures** via output gap
- Supports **monetary policy assessment and decision-making**

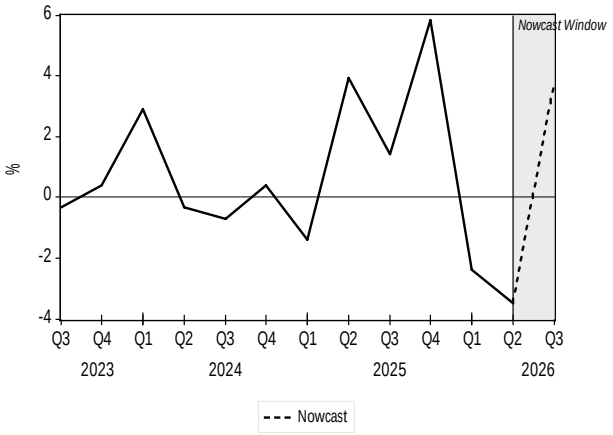
GDP Nowcast Model

Dependent Variable: DL_RGDP
Method: Least Squares
Date: 09/10/26 Time: 23:30
Sample (adjusted): 2002Q4 2021Q4
Included observations: 77 after adjustments

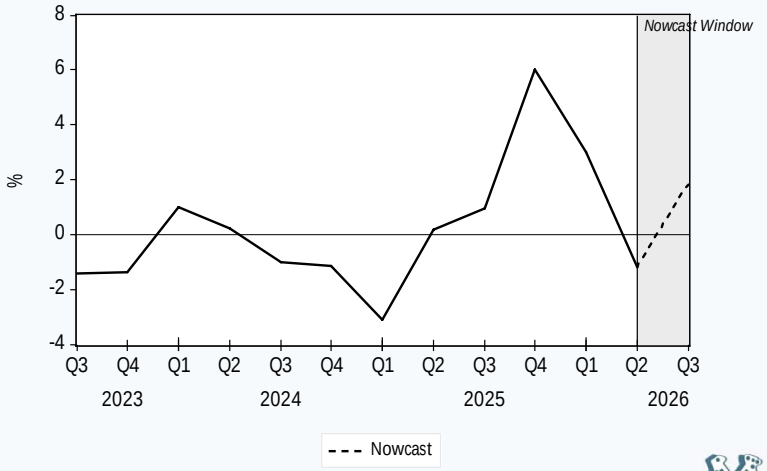
Variable	Coefficient	Std. Error	t-Statistic	Prob.
DL_RGDP(-1)	-0.113398	0.060492	-1.874611	0.0651
DL_RGDP(-2)	-0.149638	0.054370	-2.752205	0.0076
DL_RGDP_CN_SA	0.191199	0.085972	2.223969	0.0294
DL_RGRSA	0.176085	0.014673	12.00030	0.0000
DL_PROD_IND_SA	0.073504	0.013586	5.410194	0.0000
DL_RNFA	0.053387	0.020321	2.627163	0.0106
DL_FISHPRICE_SA	0.031391	0.013997	2.242660	0.0281
C	0.001890	0.002587	0.730634	0.4675

R-squared	0.830590	Mean dependent var	0.010285
Adjusted R-squared	0.813404	S.D. dependent var	0.034732
S.E. of regression	0.015003	Akaike info criterion	-5.463035
Sum squared resid	0.015531	Schwarz criterion	-5.219523
Log likelihood	218.3269	Hannan-Quinn criter.	-5.365632
F-statistic	48.32810	Durbin-Watson stat	2.023655
Prob(F-statistic)	0.000000		

Quarterly SI RGDP Growth (QoQ, SA)

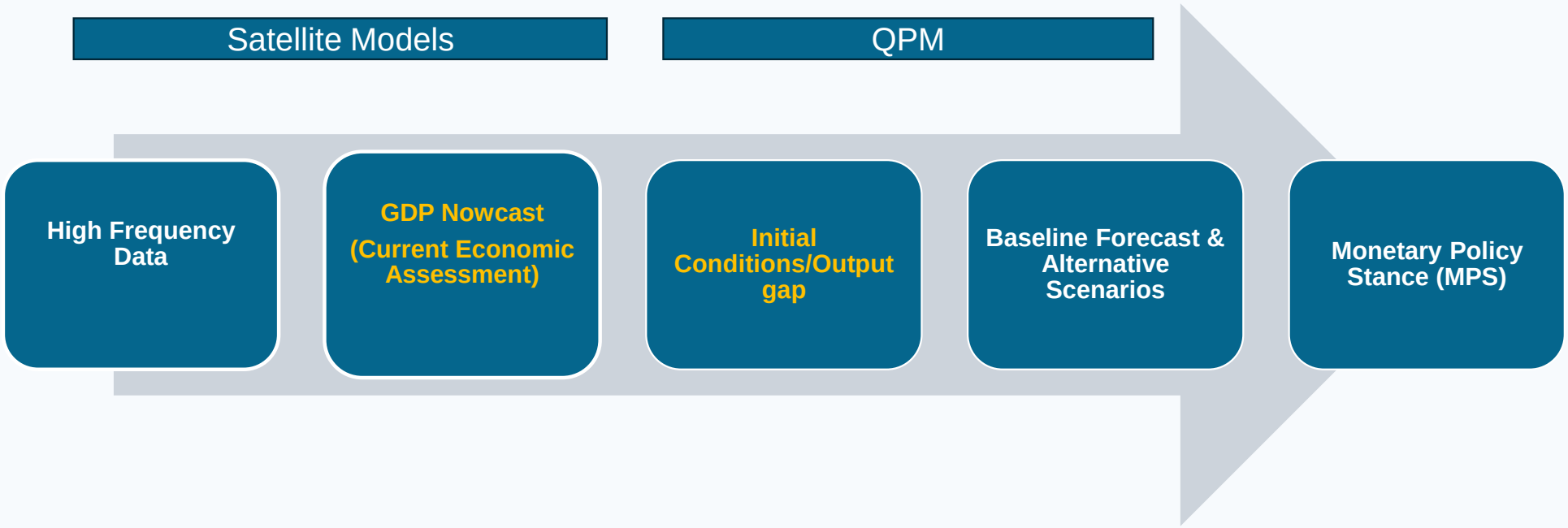


SI Output gap



2. From Nowcast to Monetary Policy

- GDP Nowcast is one of CBSI's **satellite analytical models** feeding into the QPM.
- Nowcasts are incorporated into CBSI's **March and September MPS forecasting cycles**.



3. How CBSI communicates the Nowcast Internally?

How the Nowcast moves through CBSI before it shapes policy

POLICY INTEGRATION

Feeds bi-annual macroeconomic forecasts for the March & September MPS and sets initial conditions for the Bokolo QPM.

1

Department Level

Building a consistent macroeconomic story (showcasing technical details of the model)

2

Forecasting Coordinator (FC)

Getting the views of the FC

3

Sub-Technical Level

Consensus & recommendations from Governors and the technical committee

4

Full MPC

Presenting the full macroeconomic story (rather than the technical details of the Nowcast)

QUARTERLY REPORTING CYCLE

Quarterly GDP Nowcast Report submitted to the Monetary Policy Committee (MPC).

3. CBSI's GDP Nowcast Report Template

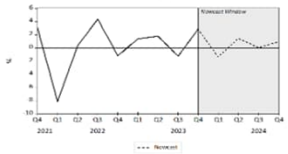
Solomon Islands GDP Nowcast Report

2024Q4 (1st Round – Oct)

Section 1. Key Highlights

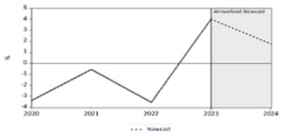
According to estimates from the latest Nowcasting round, **quarterly real GDP for Solomon Islands** (seasonally adjusted) is expected to **expand by 0.9% in 2024Q4 relative to the previous quarter**. Q3, meanwhile, was found to have displayed no quarter-on-quarter growth. The values for 2024Q4 ought to be considered preliminary, as these are first-round estimates for the present quarter and are subject to adjustment in light of future developments in the economy between the present and December 2024.

Fig. 1 - SI RGDP Growth (QoQ)
Seasonally Adjusted



In annual terms, Solomon Islands returned to growth in 2023, with a **growth rate of 4.0%** (CBSI estimate). Based on the most recent nowcast, economic activity is expected to **expand by a further 1.7% in 2024.** While this value is lower than the ERSD annual growth forecast of 3%, it is important to distinguish between the two, as nowcasts are running estimates of economic activity up to the current quarter, whereas forecasts are more economically informed and they consider the span of the entire year.

Fig. 2 - SI RGDP Growth (Annual)
Seasonally Adjusted



Section 2. Output Gap Estimates

Solomon Islands' **output gap** continues to remain **positive**, and it is expected to rise further during the current quarter. It is projected to settle at **2.2% in 2024Q4**, up from 1.4% in the previous quarter. Any signs of potential inflationary pressures arising from a positive output gap ought to be monitored by CBSI over the months to come.

Fig. 3 - SI Output Gap
Seasonally Adjusted

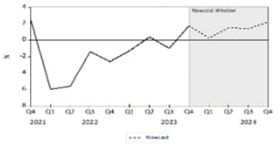
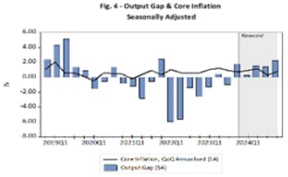


Fig. 4 illustrates the historical relationship between the output gap and Core inflation. The recent rise in the output gap might contribute to higher inflation in the months to come, as exemplified by the recent strengthening of the correlation between the two.

Fig. 4 - Output Gap & Core Inflation
Seasonally Adjusted



Section 3. Recent Developments: High-Frequency Indicators

Most high-frequency indicators point to a further strengthening of Solomon Islands' economy during the final quarter of 2024.

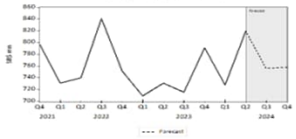
First of all, the country's **real Net Foreign Assets** (NFA) are expected to rise from $4.70 bn in 2024Q3 to $4.78 bn in Q4. This is an indication of a projected improvement in the current account position of the country relative to the previous quarter, in the absence of major policy interventions in the forex market.

Fig. 5 - Real Net Foreign Assets



Meanwhile, **real Government revenue** is predicted to level off relative to 2024Q3, increasing marginally from $757m to $759m.

Fig. 6 - Real Gov't Revenue (SA)



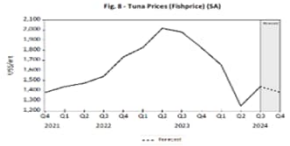
Next, the production of primary commodities, as proxied by the **Production Index**, is forecast to pick up slightly over the final quarter of the year, with an expected YoY growth of 10.4% over the quarter.

Fig. 7 - Production Index (SA)



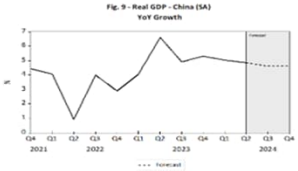
At the same time, the relevant **benchmark price** for Solomon Islands' **tuna** is expected to decline over the final quarter of the year, down to US$1,380/mt from US$1,440/mt in Q3.

Fig. 8 - Tuna Prices (Fishprice) (SA)



Finally, **growth is China** is projected to stabilise at approximately 4.60% in 2024Q4, remaining below the 5% official growth target. The relatively sluggish economic performance expected in the final quarter of the year is attributable to headwinds from increased global protectionism and weak domestic demand, the latter exacerbated by a struggling housing sector. Nonetheless, upward risks to Chinese growth remain, primarily in the form of a recent fiscal stimulus package, which is expected to stimulate growth in China, and a recent push to attract greater numbers of international tourists to the country.

Fig. 9 - Real GDP - China (SA)
YoY Growth



4. How CBSI Communicates the Nowcast Externally?

Full MPC

Full macroeconomic story finalised internally

BOARD PRESENTATIONS

More on policy level — presenting the macroeconomic story to CBSI's Board.

MONETARY POLICY REPORT (MPR)

CBSI's public-facing document — commenced reporting of the Output gap in the Sept 2026 MPR

Nowcast narrative folded into the biannual report — not yet a standalone, dedicated public release with its own methodology note.

Note

No dedicated public Nowcast page or bulletin exists yet.

5. Getting Publish-Ready: Considerations & Next Steps

Risks and safeguards to resolve before any wider release

1

Accuracy & Revisions

Nowcasts are volatile and get revised — risk of being read as "official." Timeliness and quality of input data is the main issue, implicating credibility of nowcasts.

2

Timing & Frequency

How often to update and republish without overwhelming users or CBSI's own capacity.

3

Institutional Readiness

Technical-software gaps — officers require formal training in EViews. Capacity to sustain regular publication and respond to media/public queries.

→

PROPOSED PATH FORWARD — INTERNAL ONLY, FOR NOW

Continue the current internal briefing cycle; strengthen documentation and model validation before any external publication.

Thank You.

Questions & Comments?

Get in touch with us

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